

25-126: Modifications to the Options on Bloomberg Commodity (BCOM) Index Futures Market Development Program



Timothy Elliott
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VIA ELECTRONIC PORTAL

Christopher J. Kirkpatrick
Office of the Secretariat
Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, D.C. 20581

**RE: Modifications to the Options on Bloomberg Commodity (BCOM) Index Futures Market Development Program
CBOT Submission No. 25-126**

Dear Mr. Kirkpatrick:

The Board of Trade of the City of Chicago, Inc. ("CBOT" or "Exchange") hereby notifies the Commodity Futures Trading Commission ("CFTC" or "Commission") of plans to modify the Options on Bloomberg Commodity (BCOM) Index Futures Market Development Program ("Program"). The modifications to the Program will become effective on April 1, 2025.

Exhibit 1 sets forth the terms of this Program. Modifications appear below, with additions underlined and deletions ~~overstruck~~.

CBOT reviewed the designated contract market core principles ("Core Principles") as set forth in the Commodity Exchange Act ("CEA"). During the review, CBOT staff identified the following Core Principles as potentially being impacted: Monitoring of Trading, Execution of Transactions, Protection of Market Participants, Compliance with Rules, Availability of General Information, and Recordkeeping.

The Program does not impact the Exchange's ability to perform its trade practice and market surveillance obligations under the CEA and the Exchange's market regulation staff will monitor all trading in the Program's products to prevent manipulative trading and market abuse. Additionally, the Exchange has implemented systems to track Program participants' obligations to ensure proper distribution of earned incentives. The incentives in the Program do not impact the Exchange's order execution. Participants in the Program will be selected by Exchange staff using criteria as further stated in Exhibit 1. Chapter 4 of the CBOT rules includes prohibitions against fraudulent, noncompetitive, unfair or abusive practices. All participants must execute a contractual agreement with the Exchange in which each participant will expressly agree to comply with and be subject to, applicable regulations and CBOT rules. The Program is subject to the Exchange's record retention policies which comply with the CEA.

CBOT certifies that the Program complies with the CEA and the regulations thereunder. There were no substantive opposing views to this Program.

The Exchange certifies that this submission has been concurrently posted on the Exchange's website at <http://www.cmegroup.com/market-regulation/rule-filings.html>.

If you require any additional information regarding this submission, please e-mail CMEGSubmissionInquiry@cmegroup.com or contact Rachel Johnson at 312-466-4393 or via e-mail at Rachel.Johnson@cmegroup.com.

Sincerely,

/s/ Timothy Elliott
Managing Director and Chief Regulatory Counsel

Attachment: Exhibit 1

EXHIBIT 1

Options on Bloomberg Commodity (BCOM) Index Futures Market Development Program

Program Purpose

The purpose of this Program is to encourage participants to support the ~~launch and~~ development of the product listed below. A more liquid contract on the central limit order book benefits all participants in the marketplace.

Product Scope

Options on Bloomberg Commodity Index Futures ("AW") traded on the CME Globex Platform or cleared through CME ClearPort ("Product").

Eligible Participants

The Exchange may designate up to ten (10) participants in the Program. Participants must be CBOT members. Potential participants are required to submit a Bid Sheet to the Exchange which is used to determine eligibility. Exchange staff will use a variety of factors in determining whether or not a potential participant is selected to participate in the Program, including past performance in similar products and the ability to commit to and maintain at least the required quoting obligations. Notwithstanding the foregoing, the Exchange may, from time to time, add to or subtract from the factors listed above as it deems necessary.

Program Term

Start date is September 23, 2024. End date is ~~March 31, 2025~~ September 30, 2025, or the date on which the Exchange determines to modify, extend, or terminate the Program. Participants will be given notice of any changes to the Program Term.

Hours

8:30AM – 1:30PM CT.

Obligations

In order to be eligible to receive the incentives, participants must meet predetermined volume thresholds or quote two-sided markets in the Product at predetermined widths and minimum quote sizes during a certain percentage of time-in-market.

Incentives

Upon meeting the obligations, as determined by the Exchange, participants will receive predetermined incentives.

Monitoring and Termination of Status

The Exchange shall monitor activity in the Product and shall retain the right to revoke participant status if it concludes from review that a participant no longer meets the eligibility requirements or obligations of the Program.